(Investment Corporation of India Ltd was excluded from the calculation as it was an investment arm) was only 5.08 per cent. It was insufficient to enable Tata Sons to exercise even supervisory control, lending credence to Ratan's refrain that it was doubtful if Tata Sons had the legal right to control its promoted companies. In actuality, the Tata Group was a 'collection of fiefdoms', opined former Union minister Arun Shourie in an interview.

However, in the past, the low holdings had not posed a serious threat in view of JRD's unmatched leadership. An article in *Harvard Business Review* commented that 'between 1938 and 1991, chairman J.R.D. Tata held the Tata Group together by sheer dint of personality'. The chairman's 'sheer might and presence' prevented hostile takeovers, comments Farokh Subedar.

Raising capital from the underdeveloped Indian capital market was also difficult at that time. Industrial groups primarily depended on government institutions for finances. But there was hardly any government interference in their working. The protection against hostile takeovers was provided by government investments in these companies, says Y.H. Malegam, senior partner of SB Bilimoria & Co., a chartered accountant firm.As a leading business journal wrote later, the Tatas carried the 'flag of Indian industry' and represented the 'ethical side of Indian business', making it very unlikely for the government to 'permit a takeover of a Tata company'. In this favourable ecosystem, the Tata Group focused on social development.

As Ratan remarked, most of Tata Sons' earnings were 'channelled into charity and not used to increase shareholdings in other group companies'. He quickly realized the pitfalls of the strategy. He told a leading business journal that there had to be something more than JRD's 'trusteeship management'.

On the fiftieth anniversary of India's independence, in an article in a leading daily, Ratan underlined the threat Indian companies faced in the new ecosystem. He said that they would 'undoubtedly become targets for mergers and takeovers by international corporates', making it necessary to 'create entities of greater size and higher market capitalization to counter the pressures of hostile takeovers'.

As Subedar remarks, the takeover threat for the group companies was real for Tata Sons because of the low holdings. In 1991, its average shareholding in two of its largest promoted companies, TISCO and TELCO, was 2.11 per cent (2.34 per cent in TISCO and 1.89 per cent in TELCO).